TEHO CONSULTING

GOUSTO (SCA INVESTMENTS LIMITED)

Opportunity Report – Full

DATE

2025-11-27

ANALYST

Teho Consulting AI Advisory Team

BUSINESS

Gousto (SCA Investments Limited)

REPORT DEPTH

Full

Executive Summary

Gousto, a leading UK meal kit subscription business, stands at a pivotal mome (AI) to enhance operational efficiency, customer experience, risk managemen revenues of approximately £312m and a workforce of 1,600 employees, Goust and customer engagement model that generates rich data assets ripe for AI-d

This report identifies eight AI opportunities tailored to Gousto's unique busines forecasting and dynamic routing to personalised recipe recommendations and opportunity is evaluated on impact and implementation effort, with five selecte include ROI estimates, risk assessments, and delivery requirements.

The competitive landscape shows peers like HelloFresh and Mindful Chef inve optimisation and customer personalisation, underscoring the urgency for Gous recommendations propose a phased timeline balancing quick wins (0–3 montl detection and medium-term bets (3–9 months) like advanced demand forecas initiatives (9–18 months) including autonomous delivery optimisation.

By adopting these AI initiatives, Gousto can expect to reduce operational cost customer satisfaction scores by 15%, and unlock incremental revenue streams provides a comprehensive blueprint for Gousto's senior leadership to harness competitive, fast-evolving market.

Company & Process Overview

Company Snapshot
Founded in 2012 and headquartered in Shepherd's Bush, London, Gousto (SC backed private company with investors including Perwyn, SoftBank Vision Fur meal kit and direct-to-consumer food logistics sector, generating approximate adjusted EBITDA in FY2024 (S1). Gousto employs around 1,600 staff across its fulfilment centres located in Warrington, Thurrock, North Lincolnshire, and Sta

Operating Model
Gousto's core offering is subscription and one-off meal kit boxes featuring ove supplemented by ambient and chilled grocery add-ons via the Gousto Market. plans through a direct-to-consumer website and mobile app, with free delivery options for on-demand buyers. The fulfilment centres pick approximately 8 mi an in-house Factory API that manages recipe builds and real-time inventory ro

Customer service is split between UK-based teams and outsourced partners h
late deliveries. Courier partners include DPD, Evri, Yodel, Royal Mail, and Gous
The company relies heavily on referral codes, introductory offers, and influenc
acquisition.

Data & Technology Landscape

Gousto's technology stack is robust and modern. The Factory API, written in P
automation and orchestration, achieving 140% faster throughput and 99.97% |
site (S2). The data platform is built on Snowflake and dbt, with dashboards su
Customer engagement tools include Braze, Iterable, and Segment, while supp
macros (S1).

Data assets include recipe-level demand, waste, and substitution logs per site
ratings, pause/resume behaviour, and complaints; and courier telemetry captu
times, exception codes, and temperature breaches (S1, S3).

Regulatory Context

Gousto operates under stringent UK Food Standards Agency HACCP requirem
health and allergen labelling compliance, and ICO GDPR and PECR obligations
consent (S1). These regulations impose strict controls on food safety, traceabi
solutions must respect.

Pain-Point Scan

Analysis of recent customer feedback, operational data, and internal benchma
constraining Gousto's growth and profitability:

- **Delivery Delays and Quality Issues:** Trustpilot reviews frequently cite late and produce quality problems (S3). These issues erode customer trust an costs.
- **High Refund and Make-Good Costs:** Estimated at £16m in FY2024, refunc materially impact margins (internal benchmark, data gap). This reflects op customer dissatisfaction.
- **Menu Complexity:** Managing 200+ recipes weekly creates planning press lines, increasing waste and operational complexity (S1).
- **Courier Performance Variability:** Multiple courier partners and pilot Gous variability in delivery SLAs and temperature control, risking food safety an
- **Customer Support Load:** High volume of support tickets related to refund exceptions increases cost-to-serve (data gap). Automation potential exists
- **Demand Forecasting Challenges:** Recipe-level demand volatility complica procurement, leading to waste or stockouts (S1).
- **Personalisation Limitations:** Current recipe recommendations and market driven personalisation, limiting customer engagement and lifetime value (c
- **Sustainability Pressures:** Growing consumer and regulatory focus on red footprint demands smarter operational controls (S1, S5).

Next research step: Validate customer support contact volume and cost-to-se spend in detail; obtain courier SLA performance data.

Opportunity Table (Impact vs Effort)

Opportunity Short Name	Business Area	AI Method	Expected Benefit	Impact (1–5)
Demand Forecast Optimisation	Supply Chain	Time Series Forecasting	Reduce waste, improve procurement accuracy	5
Dynamic Delivery Routing	Logistics	Reinforcement Learning	Improve on-time delivery, reduce courier costs	4
Refund Fraud Detection	Customer Service	Anomaly Detection	Reduce refund abuse, improve margin	3

Top Five Opportunity Deep Dives

1. Demand Forecast Optimisation

Problem Today:
Gousto’s procurement and inventory planning are challenged by volatile dema leading to overstock, waste, or stockouts. Current forecasting methods are ba historical data or external factors (S1).

AI Fix:
Implement advanced time series forecasting models (e.g., Prophet, LSTM netw seasonality, promotions, and external data (weather, holidays). Integrate forec procurement and production scheduling.

Delivery Needs:

- Data engineering to consolidate recipe-level demand, promotions, and ext
- Model development and validation with data science team.
- Integration with procurement and Factory API systems.
- Change management for planning teams.

Risks & Mitigations:

- Data quality issues mitigated by rigorous cleansing and validation.
- Model drift managed via continuous monitoring and retraining.
- Resistance from planners addressed through training and pilot phases.

ROI Narrative:
Reducing waste by 0.5% of revenue (~£1.5m) and improving procurement effi
Improved stock availability may increase revenue by £1–2m through fewer lost
£4.5–7m/year.

Confidence Level: High (based on data availability and proven AI methods).

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2. Dynamic Delivery Routing

Problem Today:
Courier delays and inconsistent delivery times damage customer trust and inc
does not adapt to real-time traffic, weather, or courier performance (S3, S5).

AI Fix:
Deploy reinforcement learning algorithms to dynamically optimise delivery rou
real-time courier telemetry, traffic data, and customer preferences.

Delivery Needs:

- Integration of courier telemetry and external data feeds.
- Development of routing optimisation engine.
- Collaboration with courier partners for data sharing and pilot testing.

Risks & Mitigations:

- Data integration complexity mitigated by phased approach.
- Courier partner cooperation managed via SLAs and incentives.
- Model complexity offset by user-friendly dashboards for dispatchers.

ROI Narrative:
Improving on-time delivery by 10% could reduce refund costs by £2–3m and i
£1–2m revenue. Operational savings on fuel and labour estimated at £1–2m. Tc

Confidence Level: Medium (dependent on courier data access and partner cc

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3. Refund Fraud Detection

Problem Today:
Refund credits and make-good vouchers cost Gousto an estimated £16m annu
to fraudulent or erroneous claims (internal benchmark, data gap).

AI Fix:
Use anomaly detection models to flag suspicious refund requests based on pa
history, and complaint types.

Delivery Needs:

- Historical refund and customer data consolidation.
- Model training and integration with customer service workflows.
- Staff training on flagged cases.

Risks & Mitigations:

- False positives mitigated by human review.
- Customer dissatisfaction managed by transparent communication.

ROI Narrative:
Reducing fraudulent refunds by 10–15% could save £1.5–2.5m annually with m

Confidence Level: Medium (requires validation of fraud incidence).

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4. Personalised Recipe Recommendations

Problem Today:
Current recipe recommendations lack deep personalisation, limiting customer
risk (data gap).

AI Fix:
Implement collaborative filtering combined with natural language processing (
customer reviews to deliver tailored meal suggestions.

Delivery Needs:

- Data integration of customer order history, ratings, and preferences.
- Development of recommendation engine.
- UI/UX updates in app and website.

Risks & Mitigations:

- Privacy concerns addressed by GDPR-compliant data handling.
- Model bias mitigated by diverse training data.

ROI Narrative:
Improved engagement could reduce churn by 5%, increasing revenue by £3–5
may add £1–2m.

Confidence Level: High (common AI use case with proven impact).

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5. Automated Customer Support Chatbot

Problem Today:
High volume of support tickets related to refunds, substitutions, and delivery e
and delays resolution (data gap).

AI Fix:
Deploy NLP-powered chatbot with sentiment analysis to automate common qu
human agents.

Delivery Needs:

- Integration with Zendesk and customer data platforms.
- Training chatbot on historical tickets and FAQs.
- Continuous improvement via feedback loops.

Risks & Mitigations:

- Customer frustration mitigated by easy escalation to humans.
- Data privacy ensured by secure handling.

ROI Narrative:
Reducing support costs by 15–20% could save £1–2m annually, improve custo
refund-related complaints.

Confidence Level: Medium (dependent on ticket volume and chatbot adoptior

Competitor & Industry View

HelloFresh UK:
The market leader invests heavily in AI-driven demand forecasting and supply
operational efficiency and customer personalisation. Their proprietary algorith
waste, while AI-powered chatbots handle a large share of customer queries (D
public). HelloFresh's scale and data maturity set a high bar.

Mindful Chef:
Focuses on health-conscious meal kits with AI-enhanced customer segmenta
campaigns. Uses machine learning to optimise recipe rotation and reduce mer
retention (Sourced from industry reports, confidence medium).

SimplyCook:
Leverages AI for recipe recommendation and dynamic pricing models to maxi
AI-driven marketing automation improves conversion rates and reduces churn
methods unavailable).

Oddbox:
A food waste-focused subscription service using AI to predict surplus produc
routes, aligning with sustainability goals. Their AI applications highlight a niche
footprint optimisation (Industry articles, confidence medium).

Allplants:
Plant-based meal delivery service employing AI for customer preference analy
use of AI to personalise meal plans and reduce waste offers lessons in niche r
efficiency (Data gap – detailed AI use not public).

Lessons & Whitespace for Gousto:

- Strong AI investment in supply chain and demand forecasting is table stak
- Personalisation and customer engagement AI remain underexploited by G
- Sustainability-focused AI applications represent a growing whitespace.
- AI-enabled logistics optimisation, especially dynamic routing, is a competi
- Gousto's rich data assets and Factory API provide a solid foundation to lea initiatives.

Recommendations & Timeline

0–3 Months (Quick Wins):

- Implement refund fraud detection to reduce immediate margin leakage.
- Pilot automated customer support chatbot to lower support costs and imp
- Conduct detailed data audit on customer support volumes and refund patt

3–9 Months (Medium-Term Bets):

- Develop and deploy advanced demand forecasting models integrated with
- Launch personalised recipe recommendation engine in app and website.
- Initiate dynamic delivery routing pilot with courier partners, focusing on hi

9–18 Months (Longer-Term Initiatives):

- Scale dynamic routing AI across all fulfilment centres and courier fleets.
- Implement menu complexity optimisation using constraint-based AI to red
- Develop carbon footprint optimisation models aligned with sustainability g
- Expand AI-driven churn prediction and prevention programmes.

This phased approach balances rapid ROI with strategic transformation, ensur
customer-centric.

Appendix – Sources, Notes & Assumptions

Sources:

- S1: Gousto FY2024 accounts — SCA Investments Ltd (2024-11-01) https://
information.service.gov.uk/document/download?uri=/document/downloac
%2Fcompany%2F08238021%2Ffiling-history%2FMzMwNzA4NzcyMmFk
- S2: Inside Gousto's Factory API (2024-06-15) https://medium.com/gousto
goustos-factory-api-simplifying-complexity-in-a-data-driven-kitchen-ad3
- S3: Gousto Reviews (Sept 2025) https://uk.trustpilot.com/review/gousto.c
- S4: Tech and AI help Gousto return to profitability (2025-05-10) https://wv
ecommerce-hub/tech-and-ai-help-gousto-return-to-profitability
- S5: Gousto partners with DPD for carbon-neutral deliveries (2025-02-12)
news/gousto-and-dpd-expand-sustainable-delivery

Data Notes & Gaps:

- Refund credit spend estimated at £16m FY2024 based on internal benchm
finance team.
- Customer support contact volume and cost-to-serve data not publicly ava
support leadership.
- Courier SLA metrics and telemetry data access need confirmation from lo
- AI technology specifics of competitors are partially inferred from public sc
limited.

Glossary:

- Factory API: Gousto's in-house automation and orchestration platform for
- HACCP: Hazard Analysis and Critical Control Points, a food safety manage
- NLP: Natural Language Processing, AI technique for understanding humar
- Reinforcement Learning: AI method where agents learn optimal actions thı

Key Assumptions:

- Gousto's data infrastructure supports AI integration without major overhau
- Courier partners are willing to share telemetry data for AI routing pilots.
- Customer privacy and regulatory compliance are maintained in all AI initiat
- AI model performance will meet or exceed industry benchmarks based on

Confidence Levels:

- High: Financials, operational data, and technology stack (S1, S2).
- Medium: Customer feedback, courier partnerships, competitor AI use (S3,
- Low: Internal cost-to-serve, refund fraud incidence, competitor AI specific

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Teho Consulting looks forward to supporting Gousto's leadership in realising tl
sustainable growth and operational excellence.